

Cambridge
International
AS & A Level

Cambridge International Examinations
Cambridge International Advanced Subsidiary and Advanced Level

Done!

ECONOMICS

Paper 1 Multiple Choice (Core)

9708/12

October/November 2014

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.



Zarale Mushtaq

Solved with reasons!

This document consists of **14** printed pages and **2** blank pages.

(Unlimited wants, limited resources)



2

1 Which statement about the problem of scarcity is correct?

- A Continually rising productivity will increase output and solve scarcity. *Lower prices, More demand*
 B Future inventions will introduce new products that remove scarcity. *More wants*
 C Government printing of money will raise incomes and eliminate scarcity. *Demand pull inflation*
☒ D Human nature will make the solution of scarcity impossible.

2 A firm is considering whether to buy a piece of capital equipment which will cost \$2000. It estimates that the equipment will last for two years. The alternative is to lend the money to a finance company at a compound rate of interest of 5%.

What is the minimum increase in revenue the firm must expect to make it worthwhile buying the equipment?

- A \$101 B \$206 C \$2001 ☒ D \$2206

$$\$2000 \times 5\% \Rightarrow 100$$

$$2000 + 100 \Rightarrow 2100 \times 5\% \Rightarrow 105 + 2100 \Rightarrow \underline{\underline{2205}}$$

3

- 3 The diagram shows the production possibility curve XX of an economy that produces both consumer goods and capital goods.

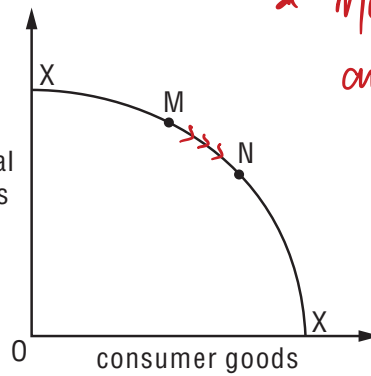
Increases potential!



long term investment



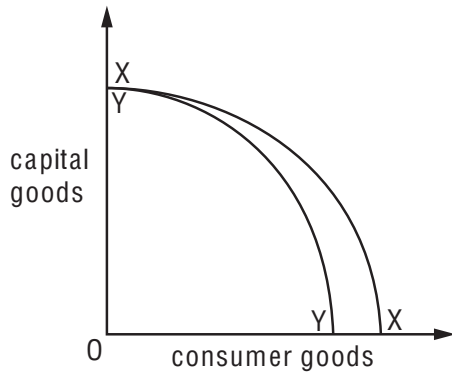
capital goods



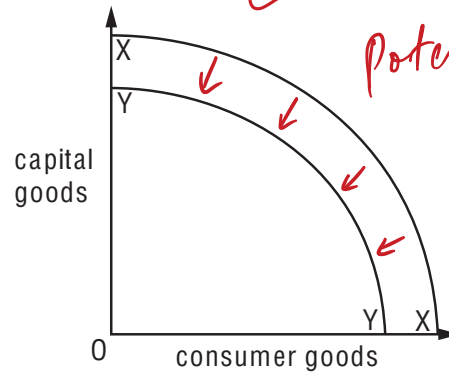
** More of consumer goods and less of capital goods*

If the economy moves from point M to point N, which diagram represents the most likely position of the production possibility curve YY in the future?

A

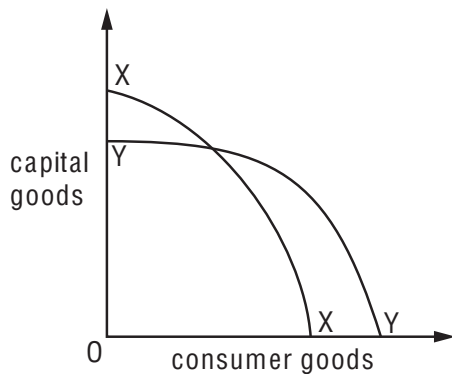


B

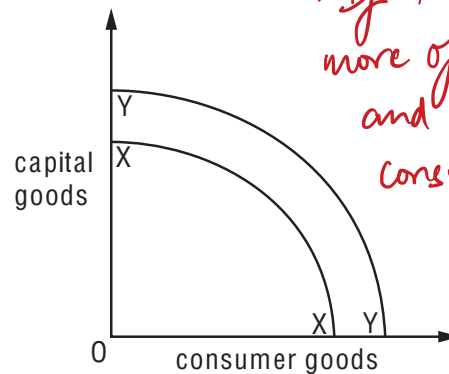


potential ↓

C



D



→ If it was more of capital and less of consumer goods

4

- 4 Arfan and his brother Ben own and run a fishing business together. They have one boat and on the days when they fish they employ Cephas and Dipak. They sell the fish to the owner of a local shop.
- Enterprise* *Capital*
land *labour*

Which row correctly identifies the factors of production involved?

	land	labour	capital	enterprise
A	shop	Arfan and Ben	money paid for the fish	shop owner
B	shop	Cephas and Dipak	boat	Arfan
C	the fish	Ben	money paid for the fish	shop owner
D	the fish	Cephas and Dipak	boat	Arfan and Ben

- 5 The market price of a product rose from \$8 to \$10 and as a result the market demand fell from 20 000 to 8000 a week.
- +25%* *-60%* *PED = -2.4 (Elastic)*

$$60 \times 20\% = 12$$

Consumer X's demand declined from 30 to 24 and consumer Y's demand fell from 100 to 60 a week.

20% *40%*

What can be concluded from this information?

- ~~A~~ Consumer X's demand for the product was more elastic than the market demand. *inelastic*

- ~~B~~ Consumer X's percentage share of the market increased. *↓*

- ~~C~~ Producer's total profit fell. *lost not given*

- ~~D~~ Producer's total revenue rose. *P ↑ TR ↓*

$$X's PED = \frac{20}{25} = -0.8 \quad [Inelastic]$$

- 6 A government wishes to impose a tax on a good so that the producer and not the consumer pays most of the tax increase. *indirect tax* *Elastic demand*

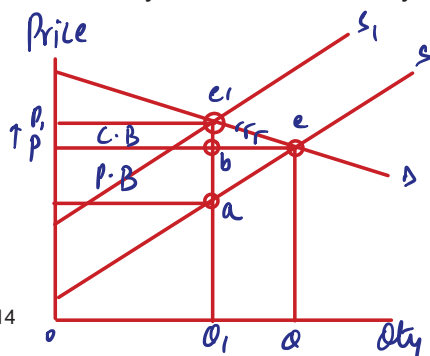
Which level of price elasticity of demand would it be best for the good to have to achieve this aim?

- ~~A~~ price elasticity of demand is elastic

- B price elasticity of demand is inelastic *Consumer Burden > Producer*

- C price elasticity of demand is perfectly inelastic *Only consumer*

- D price elasticity of demand is unitary *TR/TE remains unchanged*



$e_1 - a$:- per unit tax

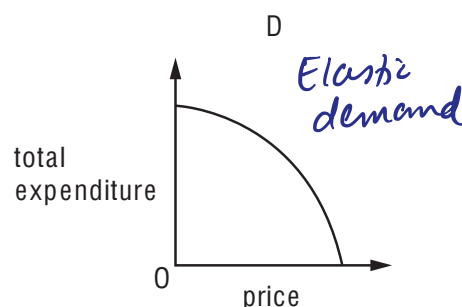
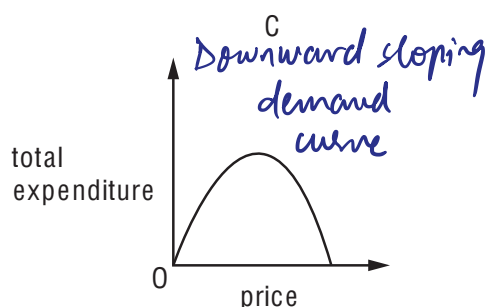
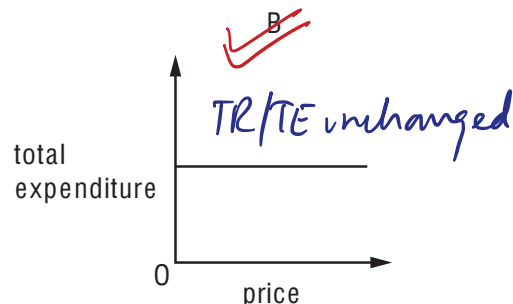
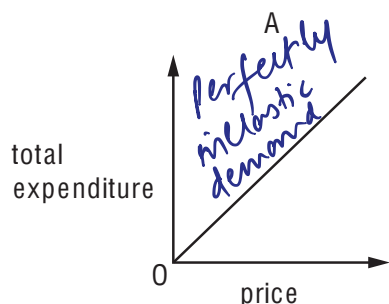
$e_1 - b$:- C.B

$b - a$:- P.B

- 7 The demand for a commodity has ⁵ unitary price elasticity.
 TR/TE: - unchanged

A change in price brings an equal % Δ in Qty demanded
 $PED = 1$ (Unitary)

Which diagram shows the relationship between total expenditure on the commodity and its price?



- 8 The price of good X rises by 10%. As a result, the demand for a substitute good Y rises by 20%.

What is the cross-elasticity of demand for good Y with respect to the price of good X?

- ☒ A +2 B +0.5 C -0.5 D -2

$$XED = \frac{\% \Delta \text{ in } Q_Y}{\% \Delta \text{ in Price}_X} \Rightarrow \frac{+20}{+10} \Rightarrow \underline{\underline{+2}} \text{ Substitutes}$$

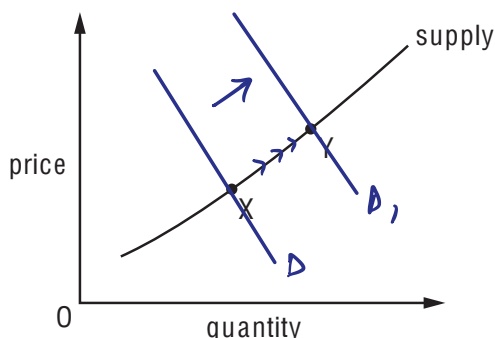
It measures the responsiveness to the percentage change in quantity demand of good Y to the percentage change in price of good X

$XED \Rightarrow +ve, -ve, 0 \Rightarrow$
 $\downarrow \quad \quad \downarrow$
 Substitutes, complements, Unrelated goods

6

- 9 The diagram shows the supply curve of coffee in an economy.

option 'c' Apply the concept of substitutes!



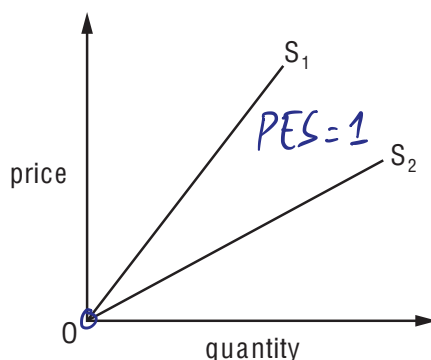
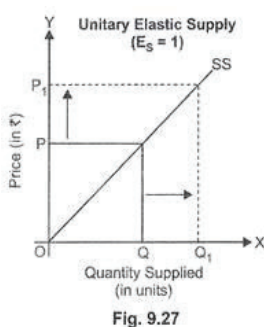
There is a positive relationship between price of one good and demand for other good!

The market equilibrium is initially at point X, but a change moves it to point Y.

What might explain this?

- A an increase in wages paid by producers of coffee *Supply ↓ shift*
- B a switch in consumer tastes from coffee to tea *Demand ↓*
- ☒ C an increase in the price of tea *Switch to coffee, Demand ↑*
- D a tax imposed on coffee producers *Supply ↓*

- 10 In the diagram OS_1 and OS_2 are two straight-line supply curves.



Unitary Elastic Supply. When percentage change in quantity supplied is equal to the percentage change in price such that the price elasticity of a supply is equal to one, then supply for such a commodity is said to be unitary elastic

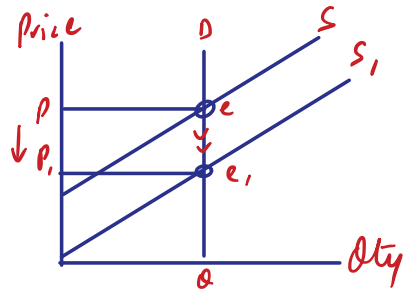
As price increases, the elasticity of supply

- A decreases along both OS_1 and OS_2 .
- B increases less rapidly along OS_1 than along OS_2 .
- C increases more rapidly along OS_1 than along OS_2 .
- ☒ D is constant along OS_1 and along OS_2 .

* Starting from origin,
 $PES = 1$

- 11 In which case will a given increase in the supply of a good cause the greatest fall in the price of the good?

- ☒ A when the demand for the good is perfectly inelastic
☒ B when the demand for the good is infinite *Perfectly elastic demand*
☐ C when the good is an inferior good *Downward sloping*
☐ D when the good's price elasticity of demand is positive *'Can't be'*
- Price doesn't change*



- 12 The table shows the maximum price a consumer would be willing to pay for successive cans of fruit juice.

cans	first	second	third	fourth	fifth
price (\$)	14	10	6	4	3

The price of a can of fruit juice is \$4 and, having bought three cans, the consumer decides to buy a fourth.

C.S. 10 6 2 0 -1

How does buying the fourth can affect his consumer surplus?

- ☒ A It leaves it unchanged. *(No additional C.S.)*
☐ B It lowers it by \$2. *(Not comparing with third)*
☐ C It raises it by \$4.
☐ D It raises it by \$34. *] can't be as Qty ↑*

- 13 Which combination of changes would enable the price mechanism to allocate resources more efficiently in a monopoly market?

Act according to Society!

	consumer sovereignty	producer sovereignty
A	decrease	decrease ✓
B	decrease	increase
☒ C	increase ✓	decrease ✓
D	increase ✓	increase

Consumer sovereignty is the situation in an economy where the desires and needs of consumers control the output of producers.

Definition producer sovereignty. This is when firms have the power and ability to influence consumer decisions. For example, in a monopoly consumers have no choice and have to pay the price and buy the goods offered by firms. Producer sovereignty means that it is firms who will decide what to do.

- 14 A firm wishes to build a factory extension.

Permission is required from the government because the extension may increase

- ☐ A comparative costs.
☒ B external costs. *⇒ cost to the third party for which no appropriate compensation is paid e.g. pollution*
☐ C opportunity costs.
☐ D private costs.
- social cost = private cost + External cost*

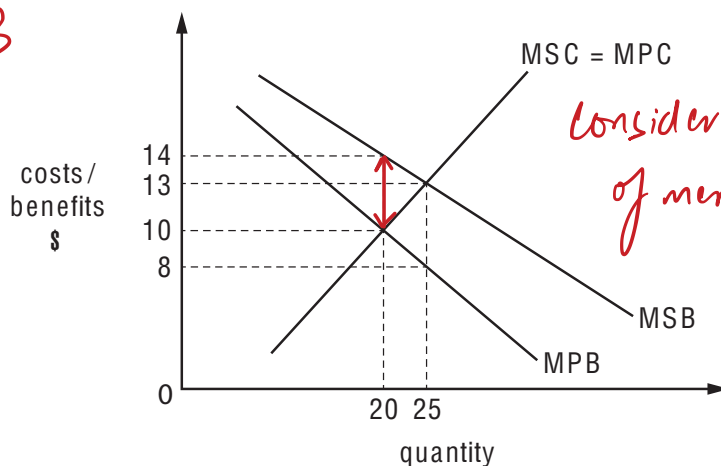
$$\text{Social Benefit} = \text{private Benefit} + \text{External Benefit} \quad 8$$

- 15 The diagram shows the private and social costs and benefits that arise from the consumption and production of a good.

$$MSB = MPB + MEB$$

$$MSB - MPB = MEB$$

$$14 - 10 \Rightarrow \$4$$



Consider the diagram of merit goods!

If there is no government intervention, what is the value of the marginal external benefit?

- A \$2 B \$3 ☒ C \$4 D \$6

- 16 What can be provided only as a public good? $\Rightarrow$ free rider problem

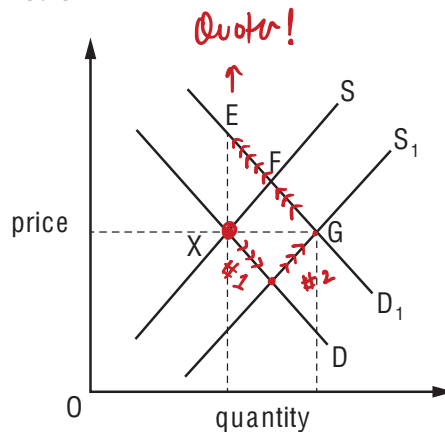
A road use $\Rightarrow$ toll charges

B security services $\Rightarrow$ charges

☒ C street lighting $\Rightarrow$ Non-rival, Non-excludable, non-rejectable

D TV broadcasting $\Rightarrow$ charges

- 17 The diagram shows the demand for and supply of a foreign-made mobile (cell) phone. The initial position in the domestic market is X.



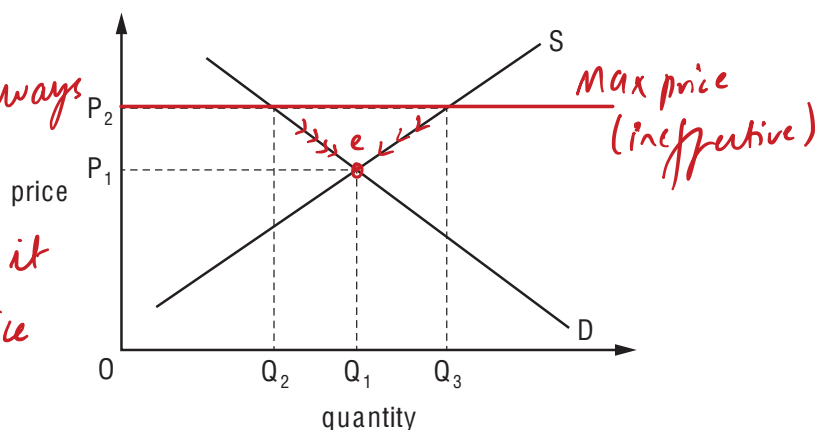
Importers increased the supply of the phone and there was an increase in demand for the phone. The government considered whether to protect domestic manufacturers with a limit on imports which would keep the supply at the initial quantity. (at point 'X') *Quota*

How would the price change between the new equilibrium without a limit on imports and the equilibrium with a limit on imports?

- A a movement from E to F *Qty ↑*
- B a movement from F to G *Qty ↑*
- ☒ C a movement from G to E
- D a movement from G to F *Qty ↓, but not initial*

- 18 The government imposes a maximum price of P_2 on a product.

Maximum price to be effective, it should always be imposed below the equilibrium, therefore it can't reach back to price mechanism!



What will be the position after this action?

- ☒ A an equilibrium with price P_1 and quantity Q_1
- B an equilibrium with price P_2 and a quantity between Q_2 and Q_3
- C an oversupply in the market by Q_2Q_3
- D a shortage in the market of Q_2Q_3

19 What is an effect on a country of free trade?

- A greater diversification of locally produced goods *free trade leads to specialization*
☒ B greater efficiency in the resource use *(comparative advantage)*
 C greater dependence in production *↓*
 D greater less security for local industries *lower opportunity cost!*

20 What is meant by dumping in international trade?

- ☒ A selling products in a foreign market at a price below cost *(predatory pricing/destroyer)*
 B selling products in a foreign market at a price below that of other firms
 C selling products in a foreign market that are of a lower ^{quality} than those of domestic firms
 D selling products in a foreign market that are of a lower ^{quality} than those of other foreign firms

21 As a result of a trade agreement, toys produced in Africa can be supplied to European markets. These toys are much cheaper than similar toys produced in Europe but are not of such good quality.

What will happen in Europe to expenditure on toys, employment in European toy companies and imports from Africa?

	<i>Depends</i> expenditure	<i>Depends</i> employment	<i>P ↓ Qty ↑</i> imports
A	decrease	decrease	decrease
B	increase	decrease	uncertain
C	increase	uncertain	increase
☒ D	uncertain	uncertain	increase

As prices of African goods are low, expenditure can rise but it's of low quality so quantity might not rise to greater extent and thus might not affect on employment of European companies!

22 Which international transaction is correctly matched to the part of the balance of payments account in which it is recorded?

	transaction	part of account
A	the outflow of funds from national reserves to foreign residents	<u>balancing item</u>
B	the provision of banking services to foreign companies	<u>financial section</u>
C	the purchase of shares in foreign banks	<u>capital section</u>
☒ D	<u>the receipt of interest on loans to foreign companies</u>	income section

⇒ BOT

⇒ Trade in services

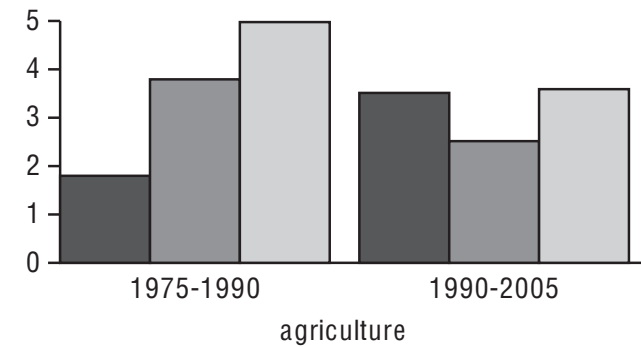
⇒ Financial section

Immediate vs Subsequent effect

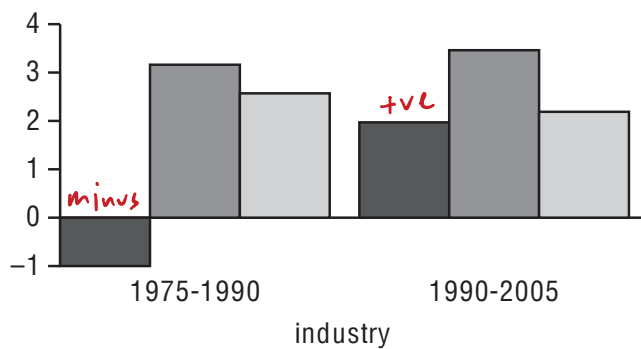
part of current account

↓
Financial account

- 23 The diagram shows annual average labour productivity growth for three groups of countries during two time periods.



* Latin :- grows
East Asia :- Falls
high income :- Falls
countries



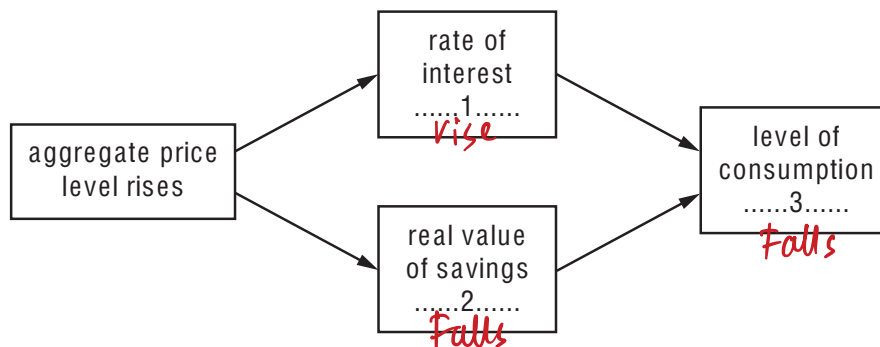
* Latin :- Minus to plus (growth)
East :- growth (smaller ↑)
high income :- Fall
countries

Which activity in which country group achieved the greatest improvement in its labour productivity growth rate between 1975-1990 and 1990-2005?

- A agriculture in high-income countries
- B agriculture in Latin America
- C industry in East Asia
- ☒ D industry in Latin America

12

- 24 The diagram, which shows part of the process that causes the aggregate demand curve to slope downwards to the right, is incomplete.

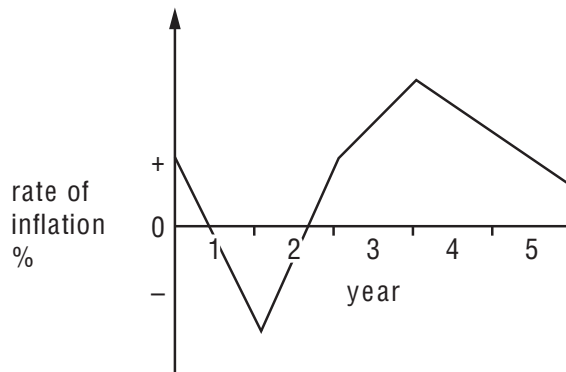


Which words correctly complete gaps 1, 2 and 3?

	1	2	3
A	falls	falls ✓	falls ✓
B	falls	rises	rises
C	rises ✓	falls ✓	falls ✓
D	rises ✓	rises	falls ✓

*Prices ↑, value of saving falls
Government raise interest rate
consumption ↓
(r and C , -ve relationship)*

- 25 The graph shows the rate of inflation in a country in a 5 year period.



What can be concluded from the graph?

- A** The price level fell during two years. *No, increasing at a decreasing rate*
B The price level was highest during year 4. *Data in percentage, Highest in 5th*
C The value of money fell for 5 years. *Rose when in minus*
D The value of money rose in 1 year. *As prices were in negative*

*Inflation :- value of money ↓
Deflation :- value of money ↑*

13

26 What might explain an increase in the volume of a country's imports?

- ☒ A an appreciation of the country's exchange rate *Qty*
☐ B an increase in the country's tariffs *m prices ↑, m Qty ↓*
☐ C a recession in the country *Income ↓, m Qty ↓*
☐ D a rise in the country's rate of income tax *Disposable income ↓, C ↓, m Qty ↓*

Appreciation

*x prices ↑, m prices ↓
x Qty ↓, m Qty ↑*

27 What is the most likely consequence of an increase in a country's balance of payments deficit?

- ☒ A an increase in the foreign value of the currency of the country *Decrease*
☒ B an increase in the level of income within the country *less*
☒ C a reduction in the quantity of money within the country *AS there will be increase in outflow*
☒ D a reduction in unemployment within the country *More*

28 Which economic change might contribute to both cost-push and demand-pull inflation?

- ☒ A a fall in the exchange rate
☐ B a fall in the interest rate
☐ C a rise in the productivity of industrial workers
☐ D an improvement in the terms of trade

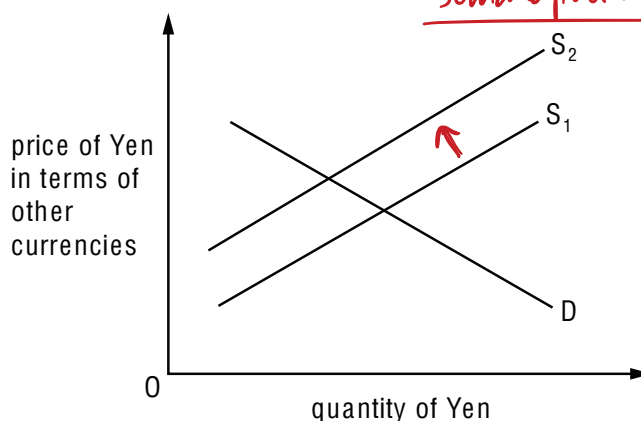
Depreciation

*x prices ↓
x Qty ↑
x (TR) ↑
AD ↑*

Demand pull inflation

*m prices ↑
m Qty ↓
inelastic
m (TE) ↑
cost push inflation*

29 The diagram shows the market for Japanese Yen.



What could have caused the change in the supply of Yen from S₁ to S₂?

- ☐ A a reduction in the level of international investment into Japan *Dyen ↓*
☐ B a reduction in the level of Japanese tariffs *m (TE) ↑, Syen ↑*
☒ C a reduction in the value of foreign goods imported into Japan *m (TE) ↓, Syen ↓*
☐ D a reduction in the value of Japanese goods exported *x (TR) ↓, Dyen ↓*

- 30 To reduce a deficit on the current account of the balance of payments, a government imposes a limit on the foreign exchange its people and firms can purchase.

Exchange
controls

Why may this increase the country's inflation rate?

- A Firms may have to purchase more expensive, domestically-produced raw materials.
- B Firms may have to sell more of their output on the domestic market. *No restriction on export*
- C The change in demand for foreign currency on the foreign exchange market may lead to an appreciation in the exchange rate. *It's linked to supply not demand*
- D The change in supply of the domestic currency on the foreign exchange market may reduce the money supply in the domestic economy. *More rolling in domestic market.*

Bound to
purchase
domestic goods

↓
as there is restriction
on imports!

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